

New Approach - Loyalty

Background

The Referral program 2.0 was designed to bring new users that would be more likely to turn into buyer fast.

However since eduki has a huge user base of freemium users and repurchase rates in ES world is decreasing, it was decided by management that this program has to pivot into something usable for all users.

Reasoning for pivoting into Promotion/Loyalty program

1. Goal of the program

- Our objective is to drive **new buyers**, not new users
- Whether a *new* user makes their first purchase, or an *existing freemium* user makes a purchase, both outcomes are equally valuable for eduki.
- Excluding freemium users would significantly limit our impact and harm the main objective

2. Communication and user experience

- The program relies on **authors promoting it on social media**, meaning we can't control who sees or engages (existing buyers, freemium users, or new users)
- The program needs to feel inclusive; otherwise, it risks disappointing authors or buyers and undermining participation
- A **"Buy 1 Get 1 Free"** offer for everyone is the simplest and cleanest experience

Alternative considered:

- We also discussed an approach where we'd keep communications open ("lean comms") and only reveal restrictions once users reached the site — for example, showing a message at checkout if the promo didn't apply to them (e.g existing buyers)

- While this would reduce confusion in external comms, it could lead to disappointment or frustration for users who felt misled
- At this point, we agreed that the benefits of simplicity and inclusivity outweigh the potential complaints, so we won't introduce those restrictions for now

3. Financial implications

- The B1G1F model means we generate revenue for one purchase but authors payouts for two—resulting in a cost/revenue of 1.2 ratio
- We're comfortable absorbing that loss for new buyers (as we expect future purchases without promotions), but it's less ideal for existing buyers

4. Managing risk

- To decide whether it's worth complicating things now vs. launching broadly and iterating, we asked ourselves: *How many existing buyers will actually take advantage of the promo?*
- Since we can't fully control who clicks through from social posts, creating barriers or exceptions would complicate both UX and comms
- Instead, we'll launch with **minimal barriers**, monitor performance closely, and iterate quickly if needed

Final Decision

- Launch the program for everyone (new and existing users)
- Limit rollout to select countries where repeat-buyer rates are lower (ES) and keep one more world as a benchmark (GR).
- Run for a limited period (e.g 3 months) and evaluate impact
- Adjust or stop early if we see unexpected repeat-buyer behavior or cost issues even after 1 month
- This will serve as wave 1 — our learning phase — before scaling further

💡 Additional Note: We may consider renaming it from a *"referral program"* to a *"loyalty program"* to better set expectations about its intent also in the long-run



Timeline: The current plan is to launch after the Sales in January